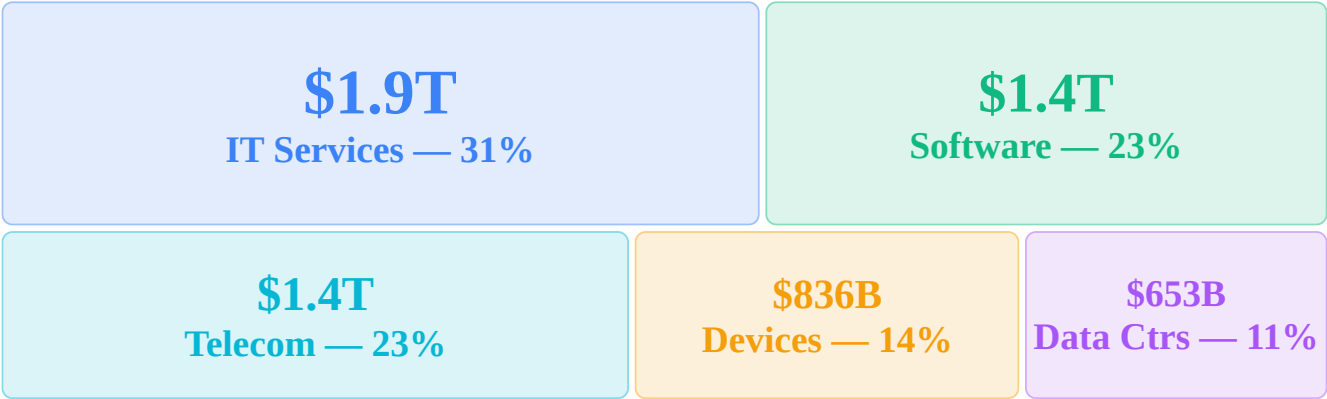


WHY NOW

The \$6.15 Trillion Question

Where \$6.15 Trillion Goes

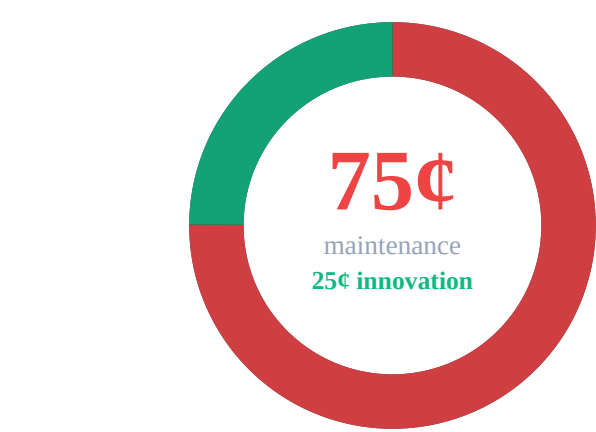


Global IT spending reaches **\$6.15 trillion** in 2026 according to Gartner's latest forecast. The number sounds like progress, but beneath it lies a staggering inefficiency that threatens to derail the AI revolution before it begins. Enterprises are spending more than ever, yet **75 cents of every dollar** goes to maintenance: patching servers, renewing licenses, managing vendors, servicing technical debt accumulated over decades.

The average large enterprise now runs **660 SaaS applications** across departments, with organizations above 10,000 employees averaging \$284 million in annual SaaS spend alone. Most of these tools were adopted bottom-up — individual teams purchasing subscriptions with zero centralized oversight. The result is devastating: **53% of all software licenses** sit completely unused, a silent tax bleeding budgets dry while delivering nothing (Zylo 2025 SaaS Management Index).

Cloud waste compounds the problem. **27% of the \$450 billion+** global cloud infrastructure spend in 2025 is pure waste: idle instances running 24/7 with no workloads, over-provisioned virtual machines sized for peak loads that never arrive, and forgotten resources from projects abandoned months ago. Per organization, that translates to roughly **\$17 million per year** burned with zero return (Flexera 2025 State of the Cloud). When organizations try to fix this sprawl, they hit another wall: **94% of core modernization projects** exceed their timelines and budgets (IBM Institute for Business Value). Complexity kills transformation before it starts.

The 75-Cent Problem



For every dollar an enterprise spends on IT, **75 cents** goes to keeping the lights on: patching operating systems, managing vendor relationships, maintaining legacy integrations, renewing licenses for software nobody uses. Only **25 cents** funds anything genuinely new. Your highest-paid engineers spend their days as plumbers and janitors rather than architects and builders.

This isn't just a budget problem — it's an **AI readiness crisis**. **72% of CIOs** now identify fragmented infrastructure as the number-one barrier to AI ROI (Gartner 2025). The models work — GPT-4, Claude, Gemini all perform brilliantly in isolation. But when enterprises try to deploy them against real workflows, they slam into siloed data lakes, incompatible APIs, missing observability, and zero governance frameworks.

The proof is damning. **95% of GenAI pilot programs** fail to deliver measurable business value (MIT Sloan Management Review, 2025). Not

Sources: Gartner Feb 2026 · Deloitte · MIT Sloan · CNBC · Zylo · Flexera · IBM IBV

The Market is Speaking — Q1 2026



Investors are punishing fragmented, legacy-dependent software vendors at historic levels. In Q1 2026 alone, **\$1 trillion** in software market capitalization was destroyed as Wall Street concluded that the old guard cannot deliver AI-ready infrastructure (CNBC). A single trading day in January saw **\$285 billion** wiped from AI sector stocks after investors realized hype without substance gets punished swiftly and brutally (WinBuzzer).

The vendor shakeout is accelerating across every segment. Project management SaaS stocks are down **58% year-to-date** as enterprises question why they pay premium prices for tools that don't integrate. IT outsourcing firms have lost **42%** of their market value. Proprietary CRM vendors are down **38%**. Virtualization incumbents have shed **27%** — investors see the writing on the wall as open-source alternatives mature.

Meanwhile, proprietary vendors are making the problem worse. VMware's post-acquisition license restructuring hit customers with increases up to **+1,500%**, forcing pay-or-migrate ultimatums on captive customers with no escape route (CIO/Avasant). This is extraction, not innovation. Smart money is betting accordingly: hedge funds made **\$24 billion** in profits shorting legacy enterprise vendors in just five weeks (CNBC).

The message from capital markets is unambiguous: **fragmented infrastructure is a liability, not an asset**. Enterprises that continue bolting together dozens of incompatible tools will face rising costs, falling productivity, and AI programs that never move beyond pilot stage. The question isn't whether to transform — it's how fast you can converge before your competitors do.